



CHAPTER 5.

An Act to extend the powers of the Board of Trade to give guarantees for the purpose of establishing or encouraging overseas trade.

[28th February 1939.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

Re-enactment and extension of former provisions.

1.—(1) For the purpose of establishing or of encouraging trade, or any branch of trade, between the United Kingdom and any country, the Board of Trade, where after consultation with an advisory council (to be called the Export Guarantees Advisory Council) constituted by them for the purposes of this section it appears to the Board advisable to do so, may, with the consent of the Treasury, make arrangements for giving guarantees in accordance with the following provisions of this section :

Power to
give
guarantees.

Provided that no guarantee shall be given under this section in connection with weapons of war or other goods which in the opinion of the Board are constructed or intended for destructive use in war.

(2) Guarantees may be given under this section in connection with the export, or an agreement for the export, of goods to any country.

(3) Without prejudice to the generality of the last preceding subsection, guarantees given in connection with any of the following matters shall be deemed for the purposes of this section to be given in connection with the export, or, as the case may require, with an agreement for the export, of goods, that is to say :—

- (a) the execution outside the United Kingdom of works or services (including the provision of labour or material obtained outside the United Kingdom) in connection with home-produced goods exported or agreed to be exported, where the contract in pursuance of which those goods are exported, or by which those goods are agreed to be exported, provides for the execution of those works or services and the Board of Trade are satisfied that such provision is reasonable, having regard to the nature of the contract and to all the circumstances of the case;
- (b) sales and agreements for sale of goods which at the time of the sale or agreement are intended by the purchaser for export;
- (c) sales and agreements for sale of goods which at the time of the sale or agreement have already been exported by, and are held in a country outside the United Kingdom by or on behalf of, a person carrying on business in the United Kingdom; and
- (d) sales and agreements for sale of goods exported or to be exported by a company incorporated in the United Kingdom and carrying on business therein, being sales or agreements made by a company incorporated in or under the laws of a country outside the United Kingdom which is not carrying on business in the United Kingdom and is controlled by the first-mentioned company.

(4) Guarantees may also be given under this section in connection with any other matter which appears to the Board of Trade to be conducive to the establishing or encouraging of such trade or branch of trade as aforesaid.

(5) A guarantee to be given under this section shall be given only to, or for the benefit of, a person carrying on business in the United Kingdom :

Provided that a guarantee to be so given in connection with such a sale or agreement for sale as is referred to in paragraph (d) of subsection (3) of this section may be given to the company not carrying on business in the United Kingdom referred to in that paragraph.

(6) The Export Guarantees Act, 1937, is hereby repealed. 1 Edw. 8. &
1 Geo. 6.
c. 61.

2.—(1) The aggregate amount of the liability at any time of the Board of Trade in respect of guarantees given under the last preceding section, the Export Guarantees Act, 1937, and the enactments repealed by that Act, shall not exceed the sum of seventy-five million pounds, and, further— Limit on
amount of
guarantees
under s. 1.

(a) the aggregate amount of such liability in respect of guarantees given under subsection (2) of the last preceding section in connection with the export, or agreements for the export, of goods not being home-produced goods shall not exceed the sum of seven million five hundred thousand pounds;

(b) the aggregate amount of such liability in respect of guarantees given under subsection (4) of the last preceding section shall not exceed the sum of two million five hundred thousand pounds.

(2) Where a guarantee is to be given under subsection (2) of the last preceding section in connection with the execution outside the United Kingdom of such works or services in connection with home-produced goods as are referred to in paragraph (a) of subsection (3) thereof, the liability of the Board of Trade in respect of that guarantee shall not exceed an amount equal to one-third of the price fixed as the price of those goods by the contract in pursuance of which they are exported or by which they are agreed to be exported.

3. The Board of Trade shall publish quarterly a return showing, in the case of the first return, the aggregate amount of the guarantees given under section one of this Act and the guarantees given under the Export Guarantees Act, 1937, since the date of the last return published under that Act, and, in the case of a subsequent return, the aggregate amount of the guarantees given under section one of this Act since the date of the last previous return. Returns of
amount of
guarantees
under s. 1.

Further power to give guarantees.

Further
power
to give
guarantees.

4.—(1) For the purpose of establishing or of encouraging trade, or any branch of trade, between the United Kingdom and any country, the Board of Trade may, with the consent of the Treasury, make arrangements for giving guarantees to, or for the benefit of, a person carrying on business in the United Kingdom, in connection with any matter in connection with which it appears to them to be expedient in the national interest that guarantees should be given.

(2) The aggregate amount of the liability at any time of the Board of Trade in respect of guarantees given under this section shall not exceed the sum of ten million pounds, and, further, the aggregate amount of such liability in respect of guarantees so given otherwise than in connection with the export, or agreements for the export, of home-produced goods shall not exceed the sum of two million pounds.

(3) For the purposes of this section, a guarantee shall be treated as being given in connection with the export, or an agreement for the export, of goods if it would have been so treated had it been given under section one of this Act.

Returns of
amount of
guarantees
under s. 4.

5. The Board of Trade shall publish half-yearly a return showing, as respects each country in relation to which guarantees have been given under section four of this Act since the date of the last previous return, or, in the case of the first return, since the commencement of this Act, the aggregate amount of the guarantees so given, and the returns shall be so framed as to indicate the parts of that amount that are attributable to different classes of goods and other matters in connection with which the guarantees have been given.

General.

Expenses
and
receipts.

6.—(1) All expenses incurred by the Board of Trade under this Act or under the Export Guarantees Act, 1937, or under any enactment repealed by that Act, shall be defrayed out of moneys provided by Parliament, but in the event of any amount required for fulfilling any guarantee given under any of the said

enactments not being paid out of such moneys, it shall be charged on and issued out of the Consolidated Fund of the United Kingdom, or the growing produce thereof.

(2) All sums received by the Board of Trade in connection with any guarantee given under any of the said enactments or in connection with any credit granted under any of the enactments repealed by the Export Guarantees Act, 1937, shall, subject to any directions given by the Treasury, be paid into the Exchequer.

7.—(1) Where in accordance with the provisions of section five of the Exchequer and Audit Departments Act, 1921, the Board of Trade prepare statements of account in relation to the giving of guarantees under this Act, the Board shall prepare separate statements in relation to the giving of guarantees under section one and to the giving of guarantees under section four of this Act.

Miscellaneous provisions as to functions of Board of Trade.
11 & 12
Geo. 5. c. 52.

(2) Anything authorised by this Act or the Export Guarantees Act, 1937, or any of the enactments repealed by that Act to be done by or to the Board of Trade may be done by or to the President, a Secretary, an Under-Secretary, or an Assistant Secretary, of the Board, or by or to any person authorised in that behalf by the President of the Board.

8.—(1) In this Act—

“export” means export from the United Kingdom;

“home-produced goods” means goods wholly or partly produced or manufactured in the United Kingdom.

Interpretation.

(2) A guarantee given under this Act may be given upon such terms and conditions as to commission and otherwise as may be determined in accordance with the arrangements made for giving that guarantee.

9. This Act may be cited as the Export Guarantees Act, 1939. Short title.

Printed by EYRE AND SPOTTISWOODE LIMITED

FOR

SIR WILLIAM RICHARD CODLING, C.B., C.V.O., C.B.E., the King's Printer of Acts of Parliament